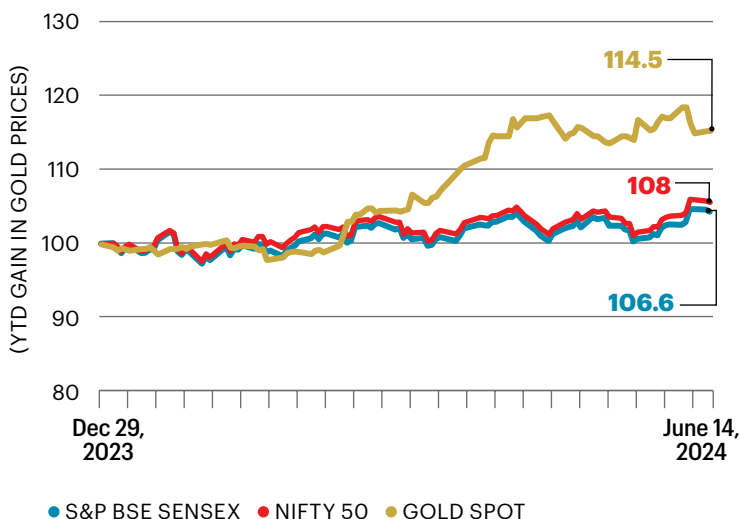


TREASURE HUNT

- Gold surges 14.5% YTD, tops the Nifty 50 and Sensex
- Nifty and Sensex have gained only 8% and 6.6% respectively



NOTE DATA HAS BEEN INDEXED TO 100
SOURCE ACE EQUITY, MCX



“Gold prices could conservatively reach ₹1 lakh per 10 gm. The only potential dampener might be the strengthening of the Indian rupee, which could slow the pace of price increases in domestic markets”

JATEEN TRIVEDI
 VP, RESEARCH-COMMODITIES AND CURRENCY, LKP SECURITIES

Also, unlike stocks, gold does not generate dividends or interest and is immune to fluctuation. Its value depends solely on price appreciation. Hareesh says, “Ultimately, the decision to shift from stock holdings to investing in gold should be based on an individual’s financial situation, goals, and risk tolerance.”

While stocks offer the potential for higher returns, they also come with greater risk. On the other hand, gold, despite offering little income, can provide gains through price appreciation. However, it is important to note that gold prices often rise during times of uncertainties, but can be dampened by rising interest rates.

Trivedi says, “It’s not advisable to completely ditch stocks for gold. Capital market investment involves identifying and capitalising on sectoral cycles. Gold, on the other hand, is a safe-haven asset and tends to perform well during economic uncertainty. Maintaining a balanced portfolio is crucial. Given gold’s strong performance since 2019, it is prudent to increase your allocation to gold. However, retaining a diverse investment portfolio with both stocks and gold is essential for long-term growth and stability.”

This shows even though gold has historically been a safe-haven asset, particularly during economic downturns and geopolitical uncertainty, deciding whether

to invest in gold or the Nifty50 requires careful consideration of your investment goals and risk tolerance.

“No, one shouldn’t compare stocks with gold. Stocks and gold provide distinct views expressed on macros and risk,” said Somnath Mukherjee, CIO and Senior Managing Partner of wealth management company ASK Private Wealth. “Stocks are a call option on the economy, whereas gold is a put option. Ergo, gold is a hedge against macro and market volatility. Short-term correlation is not a great guide to base your investment decisions on,” he adds.

REASON BEHIND RALLY

Unlike most commodities—prices of which hinge on supply and demand—gold is affected by broader economic forces. Factors like inflation, economic downturns, interest rate cuts, and geopolitical instability can influence the price of the yellow metal.

Gold is seen as a hedge. Investors view it as a way to preserve their purchasing power when the value of a currency weakens due to inflation. This way, as inflation fears rise, the demand for gold also goes up. For instance, in the geopolitical scenario, there is an ongoing conflict between Russia and Ukraine, as well